



SOLAR FOODS

FINANCIAL STATEMENTS AND THE REPORT OF THE BOARD OF DIRECTORS

Solar Foods Oyj

company id 2872116-8

January 1st - December 31st, 2024



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Report of the Board of Directors

Solar Foods briefly

Solar Foods is a technology company founded on joint research conducted with VTT Technical Research Centre of Finland and LUT University. The company aims to commercialize an entirely new type of food protein and the technology platform used for its production—hydrogen fermentation. The primary raw materials in this process are carbon dioxide and electricity.

Solar Foods' objective is to bring to market a high-protein food ingredient that serves as a nutritional alternative to animal-based foods while having only a fraction of the environmental impact of, for example, meat production. The company's mission is to decouple food production from land use and traditional agriculture. Solar Foods' technology provides a novel opportunity to enhance the price and quality stability, as well as the availability, of food ingredients.

Significant events during financial period 2024

The past year marks a historic milestone in Solar Foods' journey from vision to reality. With 2024, we successfully completed our first strategic period (2018–2024) and achieved its three main objectives. We delivered a new crop to humanity, Solein, which was approved as a novel food. We proved Solein's excellent usability in various food categories up to consumer product launches. In addition, the Factory 01 production facility demonstrated the scalability of our hydrogen fermentation technology.

In September, we obtained self-affirmed GRAS (Generally recognized as safe) status for Solein in the United States and registered our Factory 01 with the U.S. Food and Drug Administration (FDA). This enabled the launch of Solein in the United States in November. The first taste of the future of food was experienced in collaboration with award-winning chef Greg Baxtrom at his prestigious Olmsted restaurant in New York. Entering the U.S. market is a major milestone for Solein as it's one of the largest protein-consuming markets in the world.

Consumers in Singapore were able to sample products containing Solein during the year. Fazer introduced the Solein-containing Taste the Future chocolate bar, and the Japanese Ajinomoto launched two test-marketing products in the autumn: Traditional Flowering Mooncakes and Ice Cream Sandwiches. The products were well received and became available again in December.

In addition, the company won the international series of the NASA Deep Space Food Challenge in the United States.

During the year, we also made significant progress in bioprocess productivity at our pilot plant. We plan to replicate these productivity improvements also at Factory 01. This will have an impact on the production cost of Solein.

Having achieved the objectives of our first strategy period, we look forward to the next phase, the details of which we announced at our Investor Day in December. This new strategic phase will guide us until 2030 and will focus on commercializing Solein in the U.S. and scaling up production at both the existing Factory 01 and the upcoming Factory 02, which is currently in the pre-engineering stage.

Our commercialization strategy in the United States focuses on the Health & Performance Nutrition segment, which is one of the world's most important markets for high-protein products. In this segment, we are focusing on ready-to-mix powders, ready-to-drink beverages and protein bars. We are also moving from offering powder prototypes to a conceptual sales model where we will introduce finished products containing Solein. Over the winter, we will focus on customer work in the United States, especially with companies in the Health & Performance Nutrition sector. We will also be attending several industry events.

To meet demand, we plan to expand the design capacity of Factory 01 from 160 tons to 230 tons in 2026. In connection with the strategy update, we also published a phased investment plan for Factory 02. This industrial-scale production facility will be the cornerstone of our international growth strategy. The pre-engineering phase for Factory 02 started in February 2025

Solar Foods published its review strategy for the strategy period 2025-2030 on 10th December 2024, according to which the company will focus on:

- Health & Performance Nutrition segment especially in the US,
- transition to a concept sales model
- higher product price points, and
- increased capacity at Factory 01.

Additionally, Solar Foods is preparing a phased investment plan for the Factory 02 facility to achieve positive EBITDA during the strategy period.

The reviewed strategy was presented in more detail during a Capital Markets Day held on the same day. At the same time, new long-term financial targets were also published.

Main points of the reviewed strategy

Solar Foods will focus on the Health & Performance Nutrition segment, especially in the United States, one of the primary global markets for high-protein products. Solein® is well-positioned to succeed in this segment due to its good nutritional and sustainability credentials.

Solar Foods is transitioning from offering powder prototypes to a concept sales model that demonstrates end-products containing Solein that meet customer needs and accelerate sales cycles.

During this strategy period, the Company anticipates higher price points for Solein compared to previous levels. The strategic shift is from achieving price parity with soy protein to targeting price parity with whey protein isolate, reflecting Solein's quality and nutritional benefits. The Company estimates that in 2025-2026, Solein's market price for this segment will be USD 16-25/kg, and in 2027-2030 USD 13-20/kg.

Solar Foods plans to expand the design capacity of its operational Factory 01 facility. The Company will implement recent productivity improvements demonstrated at its pilot facility, increasing Factory 01's annual design capacity from 160 tons to 230 tons in 2026.

The Company has outlined an investment plan for its industrial-scale Factory 02 facility, focusing on phased expansion and incremental capital deployment. All the phases are estimated to achieve positive cash flow.

The Company aims to explore potential cost savings by considering the location of the Factory 02 facility in a brownfield site, the use of hydrogen supplied by external parties, and the possibility of securing grants under the IPCEI notification, subject to a separate financing decision by the relevant authority. The final investment decision for the Factory 02 facility is expected to be made in 2026.

New financial targets

Solar Foods expects to achieve positive EBITDA in 2030 as a result of higher product pricing, new geographical markets, continuously improved productivity, and a new phased CapEx approach, which could lead to even more capital-lean construction of the Factory 02 facility. The operational and financial targets remain unchanged (including additional factories, licensing business and Space business) for the period after 2030.

Our mission is ambitious: bring Solein to market globally, revolutionize sustainable food production and continue to deliver value to our shareholders, stakeholders and the planet, and we are now ready to enter the next phase on this journey. The dedication of our team and our successful listing on the Nasdaq First North Growth Market Finland have created a solid foundation for this global growth journey.

Financial key performance indicators

EUR thousand	2024	2023	2022
Net turnover	19	5	0
Other operating income	8,061	5,146	64
Operating profit (loss)	-8,920	-6,794	-3,178
Operating profit, %	negative	negative	negative
Return on equity, %	-46	-53	-47
Equity ratio, %	50	48	25
Salaries and wages	3,272	2,044	1,789
Headcount on average	42	28	21
Basic and diluted loss per share (EPS), EUR	-0.46	-0.44	-0.27
Average number of shares	24,149,297	20,371,799	20,040,000

Finance and cash flows

Equity ratio in year end was 50% (48%). In year end 2024 the company had interest bearing debt for EUR 19,581,666.68 (EUR 20,940,000.00), of which EUR 16,567,500.04 (EUR 18,902,500.02) was long term debt. Cash and cash equivalents were EUR 13,396,494.31 (EUR 16,387,375.43).

During 2024 cashflow due to operating activities was EUR -725,841.44 (EUR -3,763,423.71) and cash flow from financing activities was EUR 6,828,662.52 (EUR 18,658,002.73).

Investments to intangible and tangible assets reduced with investment grants received was EUR -9,093,702.66 (EUR -7,971,434.51) during 2024.

The financing agreement between the company and one lender contains covenants relating to minimum liquidity and gearing. The agreement entitles the bank to terminate the loan or amend

the loan terms if the specific condition is exceeded. During the fiscal year 2024, the covenants have been met.

Research and development

Development work during the financial period focused, for example, on the development of the organism platform and Solein product applications, production process development and optimization. Capitalized development costs for the financial period amounted to EUR 4,578,718.19. The grants allocated to these costs totaled EUR 3,903,365.04. Costs related to the research have been recognized as expenses.

Management and Auditor

Ilkka Saura, CFO, and Juan Manuel Benitez-Garcia, CCO, were appointed to the Management Team in April. Troels Nørgaard, Chief Strategy Officer, and Benoit Formesyn, Project Manager appointed to the Management Team in September. Petri Tervasmäki, CTO, appointed to the Management Team in December, while Vice President, Production Jouni Ahtinen and Project Director Benoit Formesyn left the Management Team.

At the end of the review period, Solar Foods' Management Team consists of the following members:

Pasi Vainikka, Chief Executive Officer
Ilkka Saura, Chief Financial Officer
Petri Tervasmäki, Chief Technology Officer
Tiia Kuusimäki, Chief Operating Officer
Troels Nørgaard, Chief Strategy Officer
Juan Manuel Benitez-Garcia, Chief Commercial Officer
Laura Sinisalo, Chief Experience Officer
Juha-Pekka Pitkänen, Chief Scientific Officer

Audit company KPMG Oy Ab continued to act as the company's auditor, with APA Jussi Paski as the auditor with principal responsibility.

Directed share issues carried out by the company during the financial period and share capital development

The aim of the directed share issues carried out by the company during the financial period has been to strengthen the company's capital structure and financial position. Share issues have been directed to the company's shareholders and, as part of the company's funding rounds, to private individuals, corporations and the public. In the directed share issues, the subscription prices of new shares have been fully recorded in the company's invested unrestricted equity.

During the first half of the year, Solar Foods successfully completed directed share issues raising approximately EUR 8.8 million by offering 1,031,644 new shares. Option holders subscribed for additional 188,462 new shares based on option rights. The share capital was raised by EUR 77,500 in June and the increase was registered in the Trade Register on 8 July 2024.

Solar Foods' share

Solar Foods has one share class and each share entitles to one vote in the Annual General Meeting. All shares have an equal right to dividend. Solar Foods Oyj's stock has been trading on the First North Growth Market Finland marketplace maintained by Nasdaq Helsinki Ltd since 10 September 2024. The ISIN code of the share is FI4000577192 and the ticker is SFOODS. Solar Foods does not hold treasury shares.

At the end of the financial period, Solar Foods's registered share capital was EUR 80,000 (2,500) and the number of shares 26,641,049 (20,040,000). The average number of shares during the financial period was 24,149,297 (20,040,000).

The highest trading price of the Solar Foods share from January to December was EUR 16.996 and the lowest was EUR 4.60. The volume-weighted average share price in January-December was EUR 7.23 and the year-end closing price was EUR 4.62. Based on the closing price, the market capitalization of the shares was EUR 113.8 million. During the review period, the trading volume was 1,091,318 shares and the euro volume was EUR 7,887,690.

At the end of the financial period Solar Foods had 4,538 shareholders. Nominee registered shareholders held 11.04 (0) percent of the company's shares at the end of the financial period. Solar Foods did not hold its own shares at the end of the review period.

Incentive programs

At the end of the financial period, the company had three stock option plans (plans 2020A, 2020B and 2/2024), under which option holders can subscribe in total for a maximum of 2,005,250 new shares or the company's own shares. At the end of the financial period, of this amount, options entitling to subscribe for a maximum of 1,852,250 company shares were allocated and not subscribed, which immediately dilutes the shareholders' relative ownership in the company by approximately 7.5 percent, if all of these option rights are exercised and they have the maximum number of new shares is subscribed, taking into account that the number of the company's shares at the end of the financial period was 24,641,049 shares.

Shares in option plans 2020A and 2020B shares may be subscribed twice a year after the publication of the company's financial statements release and half-year report or as separately decided by the company's board of directors. The subscription price of the shares is EUR 0.2051 per share (2020A) and EUR 2.75 per share (2020B and 2/2024). The subscription period ends on 31 December 2029.

During the financial period, as part of a share issuance, an option plan 1/2024 was created, under which 122,352 options were granted, entitling to subscribe for company shares at a price of EUR 0.001 per share whereas the subscription period ends on 21 December 2034.

During the financial period, an option plan 2/2024 was created, under which 944,250 options were granted, entitling to subscribe for company shares at a price of EUR 2.75 per share. Shares may be subscribed twice a year after the publication of the company's financial statements and half-year report or as separately decided by the company's board of directors. The subscription period ends on 31st December 2029.

During the financial period, a total of 152,462 new shares were subscribed for under option plans 1/2023 (created as part of the funding round in fall 2023) and 1/2024, which were registered in the

Trade Register. The subscription price of the shares (EUR 0.001 per share), totaling EUR 152.46, was recorded in full in the Company's reserve for invested unrestricted equity. All remaining options related to the option plans 1/2023 and 1/2024 were subscribed during the financial period.

During the financial period, 11,000 new shares were subscribed for under Option Plan 2020A, and 25,000 new shares were subscribed for under Option Plan 2020B, for a total of 36,000 new shares of the Company, which were registered in the Trade Register. The subscription price of the shares, totaling EUR 71,004.60, was recorded in full in the Company's reserve for invested unrestricted equity.

Option plan	Total number of option rights at the end of the financial period, pcs	Total number of allocated but not subscribed option at the end of the financial period, pcs	Total number of subscribed and registered shares using option rights during the financial period, pcs	Subscription price, EUR	Total subscription price during the financial period, EUR
2020A	284,000	241,000	11,000	0.205	2,256.10
2020B	768,000	667,000	25,000	2.750	68,748.50
1/2023	0	0	30,110	0.001	30.11
1/2024	0	0	122,352	0.001	122.35
2/2024	953,250	944,250	0	2.750	0
In total	2,005,250	1,852,250	188,462		71,157.06

Subsequent events

In January, we announced that Solar Foods had appointed Rami Jokela as its new CEO, effective April 1, 2025, to lead the company's international growth phase. This change in the company's leadership is a strategically important part of the Solar Foods story as the company moves from groundbreaking technological development to the implementation of its global business strategy.

In February, we took an important step towards the launch of Solein in Europe by responding to inquiries from the European Food Safety Authority (EFSA) for a scientific opinion on the safety of Solein. We have previously communicated that we expect to obtain EU novel food authorisation during 2026. In February, Italian food innovator KelpEat presented a Solein-containing protein snack at the Pitti Taste food event in Florence, and the company plans to bring the product to the US consumer market.

Business Finland granted funding for Solar Foods amounting to EUR 10 million on 26 February 2025, related to the company's IPCEI (Important Projects of Common European Interest) notification

approved by the European Commission, for the research, development and go-to-market for Solein protein.

Annual General Meeting 2024

The Annual General Meeting re-elected Juha Lindfors, Thomas Harding, Sebastian Jägerhorn, Juha-Pekka Pitkänen, Pontus Stråhlman and Jari Tuovinen as ordinary members of the Board of Directors, and Tommi Nuutinen as deputy member.

The Annual General Meeting resolved to authorize the Board of Directors to decide on the repurchase of the company's own common shares, preferred series-S shares, and preferred series-A shares in one or several instalments. The Annual General Meeting resolved to authorize the Board of Directors to decide upon a share issue and the issuance of option rights and other special rights entitling to shares in one or several instalments and either against or without consideration.

The Annual General Meeting resolved to change the corporate form of the company from a private limited liability company to a public limited liability company, as well as to change the trade name of the company from Solar Foods Oy to Solar Foods Oyj due to the change in the company's corporate form. The Annual General Meeting resolved to amend certain sections of the company's Articles of Association. The amendments concern the change of the corporate form, mandatory pre-registration in general meetings of shareholders as well as the possibility to hold a general meeting in a virtual form in the future.

The Annual General Meeting resolved to incorporate the company's shares into the Finnish book-entry securities system and to add a reference to the inclusion of the shares in the book-entry system in the company's Articles of Association. The Annual General Meeting resolved to authorize the Board of Directors to decide on the period for entering the company's shares into the book-entry securities system (registration period). It was resolved to authorize the Board of Directors to decide on the technical listing of the company on a well-known public marketplace (such as Nasdaq Helsinki or Nasdaq First North). The Annual General Meeting further resolved to authorize the Board of Directors to decide, in connection with a possible listing, on the approval and signing of a placing agreement, the election of a certified adviser as well as the approval and signing of a related agreement, approval the company description or prospectus to be prepared in connection with the listing, the filing of a listing application, as well as to resolve on other similar actions required for the execution of the listing.

Extraordinary General Meeting 2024

Solar Foods Oyj's Extraordinary General Meeting was held on 16th August 2024. The Extraordinary General Meeting adopted the following resolutions.

The share classes are to be combined, subject to the listing of the company (which meant that the company's board of directors implements and files the conditional decisions made by the extraordinary general meeting to be registered in connection with the listing of the company, in the time frame required by the listing process before the commencement of the listing of the company), without changing the number of shares so that all shares are of the same type and confer equal rights in the company, including that each share has one vote. Additionally, The Extraordinary General Meeting resolved the company's Articles of Association to be amended accordingly. The

general meeting also decided at the same time to remove the redemption clause and the consent clause in the Articles of Association and to change the provision regarding the term of office of the board members so that the term of office of the board member continues from the election until the end of the company's next Annual General Meeting, and that the possibility of electing substitute members to the board was removed and the numbering of the articles of association was changed.

It was resolved, subject to the decision on combination of the company's share classes and registration of such decision, to revoke all unused authorizations granted by the shareholders to the board of directors concerning share issues and the issuance of option rights and other special rights entitling to shares.

The Extraordinary General Meeting resolved, subject to the decision on combination of the company's share classes and registration of such decision, to authorize the Board to decide on a share issue and the issuance of other special rights entitling to shares, in one or several tranches, either against payment or without payment. The authorization includes the right to issue new shares or transfer treasury shares possessed by the company. The number of shares issued based on this authorization, including the shares issued based on option rights and other special rights, may not exceed 7,365,932 shares, corresponding to approximately 30% of all the company's shares as of the date of the notice to the extraordinary general meeting. A maximum of 16.67% of the authorization amount, i.e. 1,227,655 shares, may be used to reward the Company's management. The authorization is valid until 30th June 2025.

The Extraordinary General Meeting resolved, subject to the listing of the company, to revoke the previous, unused authorizations and authorize the board of directors to resolve upon the acquisition of the company's own shares in one or more instalments. The maximum number of shares to be acquired under the authorization is 2,455,310 shares, which amount corresponds to approximately a maximum of 10 percent of all shares in the company on the date of this notice to the General Meeting. The authorization is valid until 30th June 2025.

The Extraordinary General Meeting resolved to make, subject to the decision on combination of the company's share classes and registration of such decision, on the changes to the company's existing stock option plans (2020A, 2020B, 1/2023, 1/2024 and 2/2024) due to the combination of the share classes.

The Extraordinary General Meeting resolved that the number of the members in the Board of Directors is seven and Juha Lindfors, Thomas Harding, Sebastian Jägerhorn, Juha-Pekka Pitkänen, Pontus Stråhlman and Jari Tuovinen are re-elected to the Board of Directors. Additionally, it was resolved that Paula Laine is elected as a new ordinary member of the Board of Directors, for a term that expires at the close of the next Annual General Meeting of the company, and no deputy members are elected.

The Extraordinary General Meeting resolved the remuneration of the Board of Directors and the other members of the Board of Directors subject to the listing of the company's shares. The remuneration shall be paid monthly for those months for which the person acts as a member or the Chair or Deputy Chair of the Board of Directors.

Risks and uncertainties

Risks related to the company's business

The company is an early-stage growth company with significant activity-related risks. The company has little revenue relative to its operating expenses and has not yet generated a positive operating result. The company is in the early stages of commercialization and does not expect significant revenue in the coming years.

The company is dependent on external financing and needs significantly more equity and debt financing. Future profitability requires full utilization of the capacity of the planned production plant. It is uncertain whether the company can obtain the necessary financing, and any additional equity financing may change the company's ownership.

Risks related to the operating environment

Companies have been significantly affected in recent years by global economic instability and uncertainty on the financial markets, including the ongoing war between Russia and Ukraine, the impact of the COVID-19 pandemic, and geopolitical tensions including potential trade war. These factors increase financial uncertainty, complicate business planning and predictability, and may hinder the company's growth potential. In addition, intensifying competition and similar, substitutive or cheaper products developed by competitors may limit the company's business opportunities. Solein competes with other protein sources, such as plant-based and cellular proteins, and there are already hundreds of companies on the market that develop new protein sources. If competitors develop a better product, it may force the company to lower its prices, which leads to shrinking net sales and margins.

Risks related to the company's financial and economic position

The company depends on external financing because it is currently not making a profit. If the company builds more factories, like Factory 02, it requires significant additional financing, which may be covered with both equity and debt financing. In addition, the company's operational expenses and early-stage business require additional financing. The company's ability to obtain financing depends on many factors, and there is no certainty that funding will be available on reasonable terms or at all. The company is also exposed to exchange rate fluctuations as its business is planned for international markets, and changes in exchange rates may have a detrimental effect on its financial position.

Assessment of future development

The company will focus on the go-to-market activities in the Health & Performance Nutrition segment, particularly in the U.S. market. The company plans to transition to a concept-based sales model, introduce higher-priced products, and expand the design capacity of Factory 01. Additionally, Solar Foods is preparing a phased investment plan for Factory 02 to achieve positive EBITDA during strategic period 2025-2030.

The management assess the adequacy of the company's financing and the fulfillment of covenant terms from the perspective of business continuity and action planning using cash flow forecasts. Based on the available information, the company's financing is estimated to cover the business

needs for at least the next 12 months, taking into account the risks associated with ongoing and upcoming projects. The fulfillment of covenant terms requires the liquidity forecasts to be realized as planned.

The company's existing financial targets continue to serve as its financial guidance. In accordance with Solar Food's disclosure policy, the company does not provide financial guidance for the current financial year but will assess the possibility of issuing it later during the financial year 2025.

Board of Directors' proposal for the distribution of profits

In the medium term, Solar Foods focuses on growth and the company does not expect to distribute a dividend in the short to medium term. The distributable unrestricted equity of Solar Foods on 31st December 2024 was EUR 19,179,599.86, of which the result of the financial period was EUR - 11,021,649.65. The Board of Directors proposes to the Annual General Meeting that no dividend be distributed for the financial year 2024, and that the loss of the financial year is recorded in the retained earnings.

Definitions and calculation formulas for key performance indicators

Operating profit margin-% =	Operating profit / Net turnover
Return on Equity-% =	Profit (loss) for the period / Equity on average
Equity ratio =	Equity / Total assets
Basic and diluted loss per share (EPS) =	Profit for the period / Average number of shares

Financial statements

Profit and loss statement

	2024	2023
Net turnover	18,723.93	4,986.97
Work performed for own use	4,413,414.80	2,946,296.18
Other operating income	8,061,204.41	5,145,637.90
Staff expenses		
Wages and salaries	-3,271,988.38	-2,044,470.56
Social security expenses		
Pension expenses	-541,327.12	-359,319.33
Other social security expenses	-116,894.00	-72,338.95
Staff expenses in total	-3,930,209.50	-2,476,128.84
Depreciation and amortization		
Depreciation and amortization according to plan	-8,652,990.70	-7,126,959.92
Other operating expenses	-8,829,658.50	-5,287,644.18
Operating profit (loss)	-8,919,515.56	-6,793,811.89
Financial income and expenses		
Other interest income and other financial income from others	2,815.10	425.01
Interest and other financial expenses to others	-2,104,949.19	-2,198,502.33
Total financial income and expenses	-2,102,134.09	-2,198,077.32
Profit (loss) before appropriations and taxes	-11,021,649.65	-8,991,889.21
Profit (loss) for the financial period	-11,021,649.65	-8,991,889.21

Balance sheet

	31st December 2024	31st December 2023
ASSETS		
Non-current assets		
Intangible assets		
Development expenditure	3,680,499.08	3,734,049.01
Intangible rights	844,509.43	1,083,466.87
Other intangible assets	3,452,546.35	4,646,703.58
Total intangible assets	7,977,554.86	9,464,219.46
Tangible assets		
Machinery and equipment	13,952,991.12	19,122,185.17
Other tangible assets	337,187.96	678,283.16
Advance payments and construction in progress	26,754.03	329,123.49
Total tangible assets	14,316,933.11	20,129,591.82
Total non-current assets	22,294,487.97	29,593,811.28
Current assets		
Long-term receivables		
Other receivables	576,670.26	670,420.26
Total long-term receivables	576,670.26	670,420.26
Short-term receivables		
Accounts receivable	411.18	2,916.72
Other receivables	614,889.26	38.90
Prepayments and accrued income	9,800,680.70	6,710,800.89
Total short-term receivables	10,415,981.14	6,713,756.51
Total receivables	10,992,651.40	7,384,176.77
Cash and cash equivalents	13,396,494.31	16,387,375.43
Total current assets	24,389,145.71	23,771,552.20
TOTAL ASSETS	46,683,633.68	53,365,363.48

	31st December 2024	31st December 2023
EQUITY AND LIABILITIES		
Capital and reserves		
Subscribed capital	80,000.00	2,500.00
Reserve for invested unrestricted equity	51,394,620.65	42,631,977.16
Retained earnings	-17,512,872.06	-8,520,982.85
Profit (loss) for the financial period	-11,021,649.65	-8,991,889.21
Total capital and reserves	22,940,098.94	25,151,605.10
Liabilities		
Non-current liabilities		
Loans from credit institutions	16,567,500.04	18,902,500.02
Total non-current liabilities	16,567,500.04	18,902,500.02
Current liabilities		
Loans from credit institutions	3,014,166.64	2,037,499.98
Advances received	526,043.36	818,610.59
Trade payables	2,027,546.72	1,013,555.19
Other payables	777,710.96	4,949,779.25
Accruals and deferred income	830,567.02	521,813.35
Total current liabilities	7,176,034.70	9,341,258.36
Total liabilities	23,743,534.74	28,243,758.38
TOTAL EQUITY AND LIABILITIES	46,683,633.68	53,365,363.48

Statement of cash flows

	2024	2023
Cash flows from operating activities:		
Profit (loss) before appropriations and taxes	-11,021,649.65	-8,991,889.21
Adjustments for:		
Depreciation according to plan	8,652,990.70	7,126,959.92
Financial income and expenses	2,102,134.09	2,198,077.32
Operating profit before working capital changes:	-266,524.86	333,148.03
Change in working capital:		
Increase (-) or decrease (+) in trade and other receivables	-1,619,678.98	-3,499,548.79
Increase (+) or decrease (-) in trade payables	2,715,757.85	641,174.41
Cash generated from operations	829,554.01	-2,858,374.38
Interest paid and payments for other finance costs	-1,555,395.45	-1,238,197.36
Net cash used from operating activities:	-725,841.44	-3,763,423.71
Cash flows from investing activities:		
Investments in tangible and intangible assets	-10,742,314.12	-8,206,992.98
Investment grants received	1,648,611.46	235,558.47
Net cash used in investing activities:	-9,093,702.66	-7,971,434.51
Cash flows from financing activities:		
Proceeds from issuance of share capital	8,769,086.95	12,373,901.44
Costs for share issue	-653,147.65	-572,993.84
Execution of option rights	71,056.54	0.00
Proceeds from long-term borrowings	0.00	6,857,095.13
Repayments of long-term loans	-1,358,333.32	0.00
Net cash used in financing activities:	6,828,662.52	18,658,002.73
Change in cash and cash equivalents	-2,990,881.58	6,923,144.51
Cash and cash equivalents at beginning of the period	16,387,375.43	9,464,230.92
Cash and cash equivalents at end of the period	13,396,494.31	16,387,375.43

Notes to the financial statements

Accounting principles

Solar Foods is a small company undertaking under the Accounting Act and the financial statements have been prepared in accordance with Chapters 2–3 of the Government Decree on the information presented in the financial statements of a small undertaking and micro-undertaking.

Valuation principles for receivables and liabilities

Receivables are valued at their nominal value but not exceeding their probable realizable value. Liabilities are recorded in the balance sheet at their nominal value.

Fixed assets

The acquisition cost of intangible and tangible non-current assets entered in the balance sheet have been reduced by depreciation according to plan. The acquisition cost includes variable costs of acquisition and production. Grants received are deducted from the cost of acquisition. Depreciation is calculated on a straight-line basis over the economic lives of the intangible and tangible assets. Depreciation has started from the month of commissioning.

The company has invested significantly in the IPCEI project during 2023-2024. The project has a duration of 4 years and the investments in development costs, machinery and equipment and other non-current expenditure are expensed as planned.

The acquisition costs of non-current assets with a probable economic life of less than three years and minor purchases are fully expensed in the period of acquisition.

Asset group	Economic useful life and depreciation method
IT equipment	3 years, straight-line
Machinery and equipment	4 – 10 years, straight-line / declining balance method 25%
Development expenditure	4 – 10 years, straight-line
Intangible rights	4 – 10 years, straight-line
Other long-term expenditure	4 – 7 years, straight-line

Development expenditure

Capitalized development expenditure for the financial period includes personnel costs (EUR 2,118,977.00) and other costs (EUR 2,459,741.19). Development expenditure for the financial period amounted to EUR 4,578,718.19. The investment grants allocated to these costs totalled EUR 3,903,365.04. Development work during the financial period focused, for example, on the development of the organism platform and Solein product applications, production process development and optimization. The capitalization of development costs is dependent on the revenue expectations and if these expectations are not met, capitalized development costs may be subject to write-downs.

Intangible assets

	Development expenditure	Intangible rights	Other long-term expenditure
Acquisition cost 1st Jan 2024	6,759,723.95	1,720,136.72	5 172 970,92
Additions	4,578,718.19	0.00	0.00
Reductions	-3,903,365.04	0.00	0.00
Acquisition cost 31st Dec 2024	7,435,077.10	1,720,136.72	5,172,970.92
Accumulated depreciation 1st Jan 2024	-3,025,674.94	-636,669.85	-526,267.34
Depreciation	-728,903.08	-238,957.44	-1,194,157.23
Accumulated depreciation 31st Dec 2024	-3,754,578.02	-875,627.29	-1,720,424.57
Book value 31st Dec 2024	3,680,499.08	844,509.43	3,452,546.35

	Development expenditure	Intangible rights	Other long-term expenditure
Acquisition cost 1st Jan 2023	6,773,544.37	1,238,941.56	0.00
Additions	2,599,778.28	488,914.16	5,172,970.92
Reductions	-1,693,611.36	-7,719.00	0.00
Transfers between groups	-919,987.34	0.00	0.00
Acquisition cost 31st Dec 2023	6,759,723.95	1,720,136.72	5,172,970.92
Accumulated depreciation 1st Jan 2023	-2,086,384.45	-356,934.74	0.00
Depreciation	-939,290.49	-279,735.11	-526,267.34
Accumulated depreciation 31st Dec 2023	-3,025,674.94	-636,669.85	-526,267.34
Book value 31st Dec 2023	3,734,049.01	1,083,466.87	4,646,703.58

Tangible assets

	Machinery and equipment	Other tangible assets	Advance payments and construction in progress
Acquisition cost 1st Jan 2024	24,263,866.55	1,705,476.55	329,123.49
Additions	994,575.17	0.00	0.00
Reductions	0.00	0.00	-302,369.46
Acquisition cost 31st Dec 2024	25,258,441.72	1,705,476.55	26,754.03

Accumulated depreciation 1st Jan 2024	-5,141,681.38	-1,027,193.39	0.00
Depreciation	-6,163,769.22	-341,095.20	0.00
Accumulated depreciation 31st Dec 2024	-11,305,450.60	-1,368,288.59	0.00
Book value 31st Dec 2024	13,952,991.12	337,187.96	26,754.03

	Machinery and equipment	Other tangible assets	Advance payments and construction in progress
Acquisition cost 1st Jan 2023	611,966.52	1,705,476.55	15,989,791.47
Additions	4,199,616.80	0.00	9,234,198.25
Reductions	0.00	0.00	-669,672.24
Transfers between groups	19,452,283.23	0.00	-24,225,193.99
Acquisition cost 31st Dec 2023	24,263,866.55	1,705,476.55	329,123.49
Accumulated depreciation 1st Jan 2023	-100,875.62	-686,098.19	0.00
Depreciation	-5,040,805.76	-341,095.20	0.00
Accumulated depreciation 31st Dec 2023	-5,141,681.38	-1,027,193.39	0.00
Book value 31st Dec 2023	19,122,185.17	678,283.16	329,123.49

Other operating income

Other operating income includes the perioditised part of the grants received by the company related to the IPCEI project EUR 7,646,137.18. In respect of grants for projects, EUR 8,930,841.94 has been perioditised to accrued income and EUR 526,043.36 to advances received for unused project advances.

The grants received are based on the total cost of each project and, depending on the project, on a variable percentage of the total cost. The company recognizes a grant for a project on an accrual basis using the total costs incurred multiplied by the funding percentage of the project's financing decision. A significant part of the costs of the IPCEI grant have been consisted and consists of investments in production equipment, which are reported to the project through depreciation and paid retrospectively on the basis of the costs incurred and reported to Business Finland. The company has complied with the terms of the financing decisions.

At the end of the financial period, the potential liability to refund the amount of the grant received in respect of the outstanding grant accounts is EUR 9,661,942.

Exceptional items

Interest and other financial expenses contain fees for arranging share issues for EUR 646,147.65 (EUR 572,993.84 in financial year 2023).

Loans from financial institutions and other liabilities

Long-term liabilities due in more than five years total EUR 2,738,333.34.

The financing agreement between the company and one lender contains covenants relating to minimum liquidity and gearing. The covenant agreement entitles the bank to terminate the loan or amend the loan terms if the specific condition is exceeded. During the financial period 2024, the covenants have been met.

Guarantees given and off-balance sheet commitments and pension liabilities

Guarantees given by type	The amount of the debt or the guarantee with less value than debt
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Financial loans	19,581,666.68
Rental guarantees	576,670.26
Mortgage of tenancy	46,800.00
Financial loans	21,200,000.00
Guarantees	480,314.00

Lease liabilities	2025 – 2043, VAT excluded
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Rental liabilities	22,688,229.48
Financial leasing	117,697.56

Real estate investments

The company is obligated to review the VAT deductions made for the real estate investment completed in 2023 if the taxable use of the property decreases during the review period. The final review will be 2032.

The maximum liability amounts to EUR 768,000.

Personnel

Average number of employees	2024	2023
Employees	42	28

Related party transactions

The related parties of Solar Foods include key persons in the management, their close family members and companies under their control. Key management personnel include board members, managing director and members of the management team. There are no family relations between the Board and the Management Team.

The company has bought laboratory analysis and analytics services from VTT Oy, which is the parent company of VTT Ventures Oy, which is a shareholder of Solar Foods Oy. The fees for the services during fiscal year 2024 has been EUR 112,090.00 and in 2023 EUR 41,033.00.

In June 2024 the company and Gobelet Oy, which is under control of Jari Tuovinen, who is an acting board member, signed a consulting agreement. According to the agreement Gobelet Oy has been assisting company in different operations, but specifically in funding and marketing matters, including the listing in 2024. Fee for the listing process was agreed to be EUR 10,000.00. For funding rounds that we're managed by Springvest, the fee was agreed to be EUR 10,000.00 for each. Gobelet has invoiced Solar Foods for the services in line with the agreement EUR 30,000.00 and the agreement period ended after the listing process had been finalized.

Equity

The directed share issues carried out by the company during the financial period has been to strengthen the company's capital structure and financial position. Share issues have been directed to the company's shareholders and, as part of the company's funding rounds, to private individuals, corporations and the public. In the directed share issues, the subscription prices of new shares have been fully recorded in the company's invested unrestricted equity.

During the first half of the year, Solar Foods successfully completed directed share issues raising approximately EUR 8.8 million by offering 1,031,644 new shares. Option holders subscribed for additional 188,462 new shares based on option rights. The share capital was increased at the beginning of July by a transfer from the invested unrestricted equity fund, after which the share capital is EUR 80,000.00.

The number of the company's shares at the end of the financial period was 24,641,049 shares. The company has only one series of shares.

Option rights

At the end of the financial period, the company had three stock option plans (plans 2020A, 2020B and 2/2024), under which option holders can subscribe in total for a maximum of 2,005,250 new shares or the company's own shares. At the end of the financial period, of this amount, options entitling to subscribe for a maximum of 1,852,250 company shares were allocated and not subscribed, which immediately dilutes the shareholders' relative ownership in the company by approximately 7.5 percent, if all of these option rights are exercised and they have the maximum number of new shares is subscribed, taking into account that the number of the company's shares at the end of the financial period was 24,641,049 shares.

Shares in option plans 2020A and 2020B shares may be subscribed twice a year after the publication of the company's financial statements release and half-year report or as separately decided by the company's board of directors. The subscription price of the shares is EUR 0.2051 per share (2020A) and EUR 2.75 per share (2020B and 2/2024). The subscription period ends on 31 December 2029.

During the financial period, as part of a share issuance, an option plan 1/2024 was created, under which 122,352 options were granted, entitling to subscribe for company shares at a price of EUR 0.001 per share whereas the subscription period ends on 21 December 2034.

During the financial period, an option plan 2/2024 was created, under which 944,250 options were granted, entitling to subscribe for company shares at a price of EUR 2.75 per share. Shares may be subscribed twice a year after the publication of the company's financial statements and half-year report or as separately decided by the company's board of directors. The subscription period ends on 31st December 2029.

During the financial period, a total of 152,462 new shares were subscribed for under option plans 1/2023 (created as part of the funding round in fall 2023) and 1/2024, which were registered in the Trade Register. The subscription price of the shares (EUR 0.001 per share), totaling EUR 152.46, was recorded in full in the Company's reserve for invested unrestricted equity. All remaining options related to the option plans 1/2023 and 1/2024 were subscribed during the financial period.

During the financial period, 11,000 new shares were subscribed for under Option Plan 2020A, and 25,000 new shares were subscribed for under Option Plan 2020B, for a total of 36,000 new shares of the Company, which were registered in the Trade Register. The subscription price of the shares, totaling EUR 71,004.60, was recorded in full in the Company's reserve for invested unrestricted equity.

Option plan	Total number of option rights at the end of the financial period, pcs	Total number of allocated but not subscribed option at the end of the financial period, pcs	Total number of subscribed and registered shares using option rights during the financial period, pcs	Subscription price, EUR	Total subscription price during the financial period, EUR
2020A	284,000	241,000	11,000	0.205	2,256.10
2020B	768,000	667,000	25,000	2.750	68,748.50
1/2023	0	0	30,110	0.001	30.11
1/2024	0	0	122,352	0.001	122.35
2/2024	953,250	944,250	0	2.750	0
In total	2,005,250	1,852,250	188,462		71,157.06

Changes in equity between January 1st and December 31st, 2024

	Subscribed capital	Reserve for invested unrestricted equity	Retained earnings (loss)	Profit (loss) for the period	Total
January 1st 2024	2,500,00	42,631,977.16	-17,512,872.06		25,121,605.10
Increase in share capital	77,500.00	-77,500.00			0.00
Share issue		8,769,086.95			8,769,086.95
Execution of option rights		71,056.54			71,056.54
Profit (loss) for the period				-11,021,649.65	-11,021,649.65

December 31st 2024	80,000.00	51,394,620.65	-17,512,872.06	-11,021,649.65	22,940,098.94
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Changes in equity between January 1st and December 31st, 2023

	Subscribed capital	Reserve for invested unrestricted equity	Retained earnings (loss)	Profit (loss) for the period	Total
January 1st 2023	2,500.00	17,510,797.73	-8,520,982.85		8,992,314.88
Share issue through conversion of capital loans		12,747,278.09			12,747,278.09
Share issue		12,373,901.44			12,373,901.44
Profit (loss) for the period				-8,991,889.21	-8,991,889.21
December 31st 2023	2,500.00	42,631,977.16	-8,520,982.85	-8,991,889.21	25,121,605.10

Calculation of distributable unrestricted equity

Reserve for invested unrestricted equity	51,394,620.65
Retained earnings (-loss)	-
	17,512,872.06
Profit (loss) for the period	-
	11,021,649.65
Total unrestricted equity	22,860,098.94
Capitalised development expenditure	-3,680,499.08
Total distributable unrestricted equity	19,179,599.86

Proposal of the Board of Directors for the use of distributable equity

The Board of Directors proposes that the company's loss of EUR 11,021,649.65 is being transferred to the retained earnings account and that no dividends shall be paid.

Subsequent events

January 30, 2025, the company announced the appointment of Rami Jokela as the company's new Chief Executive Officer (CEO) and member of the Management Team, effective April 1, 2025.

In February, we took an important step towards the launch of Solein in Europe by responding to inquiries from the European Food Safety Authority (EFSA) for a scientific opinion on the safety of Solein. We have previously communicated that we expect to obtain EU novel food authorization during 2026. In February, Italian food innovator KelpEat presented a Solein-containing protein snack

at the Pitti Taste food event in Florence, and the company plans to bring the product to the US consumer market.

Business Finland granted funding for Solar Foods amounting to EUR 10 million on 26 February 2025, related to the company's IPCEI (Important Projects of Common European Interest) notification approved by the European Commission, for the research, development and go-to-market for Solein protein.

Risks related to the company's financial and economic position

The company depends on external financing because it is currently not making a profit. If the company builds more factories, like Factory 02, it requires significant additional financing, which may be covered with both equity and debt financing. In addition, the company's operational expenses and early-stage business require additional financing. The company's ability to obtain financing depends on many factors, and there is no certainty that funding will be available on reasonable terms or at all. The company is also exposed to exchange rate fluctuations as its business is planned for international markets, and changes in exchange rates may have a detrimental effect on its financial position.

Assessment of future development

The company will focus on the go-to-market activities in the Health & Performance Nutrition segment, particularly in the U.S. market. The company plans to transition to a concept-based sales model, introduce higher-priced products, and expand the design capacity of Factory 01. Additionally, Solar Foods is preparing a phased investment plan for Factory 02 to achieve positive EBITDA during strategic period 2025-2030.

The management assesses the adequacy of the company's financing and the fulfillment of covenant terms from the perspective of business continuity and action planning using cash flow forecasts. Based on the available information, the company's financing is estimated to cover the business needs for at least the next 12 months, taking into account the risks associated with ongoing and upcoming projects. The fulfillment of covenant terms requires the liquidity forecasts to be realized as planned.

The company's existing financial targets continue to serve as its financial guidance. In accordance with Solar Food's disclosure policy, the company does not provide financial guidance for the current financial year but will assess the possibility of issuing it later during the financial year 2025.

Signatures of the financial statements and report from the Board of Directors

In Vantaa 27th February 2025

Pasi Vainikka
Managing Director

Juha Lindfors
Chairman of the Board

Thomas Harding
Board member

Sebastian Jägerhorn
Board member

Paula Laine
Board member

Juha-Pekka Pitkänen
Board member

Pontus Stråhlman
Board member

Jari Tuovinen
Board member

Auditor's note

An auditor's report based on the audit performed has been issued today.

In Vantaa 27th February 2025

KPMG Oy Ab

Jussi Paski
APA



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This document is an English translation of the Finnish auditor's report. Only the Finnish version of the report is legally binding.

Auditor's Report

To the Annual General Meeting of Solar Foods Oyj

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Solar Foods Oyj (business identity code 2872116-8) for the financial year ended 31 December, 2024. The financial statements comprise the balance sheet, income statement, cash flow statement and notes.

In our opinion, the financial statements give a true and fair view of the company's financial performance and financial position in accordance with the laws and regulations governing the preparation of financial statements in Finland and comply with statutory requirements.

Basis for Opinion

We conducted our audit in accordance with good auditing practice in Finland. Our responsibilities under good auditing practice are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the company in accordance with the ethical requirements that are applicable in Finland and are relevant to our audit, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of the Board of Directors and the Managing Director for the Financial Statements

The Board of Directors and the Managing Director are responsible for the preparation of financial statements that give a true and fair view in accordance with the laws and regulations governing the preparation of financial statements in Finland and comply with statutory requirements. The Board of Directors and the Managing Director are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Board of Directors and the Managing Director are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters relating to going concern and using the going concern basis of accounting. The financial statements are prepared using the going concern basis of accounting unless there is an intention to liquidate the company or cease operations, or there is no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with good auditing practice will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

As part of an audit in accordance with good auditing practice, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material

misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of the Board of Directors' and the Managing Director's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events so that the financial statements give a true and fair view.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Other Reporting Requirements

Other Information

The Board of Directors and the Managing Director are responsible for the other information. The other information comprises the report of the Board of Directors. Our opinion on the financial statements does not cover the other information.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. Our responsibility also includes considering whether the report of the Board of Directors has been prepared in compliance with the applicable provisions.

In our opinion, the information in the report of the Board of Directors is consistent with the information in the financial statements and the report of the Board of Directors has been prepared in compliance with the applicable provisions.

If, based on the work we have performed, we conclude that there is a material misstatement of the report of the Board of Directors, we are required to report that fact. We have nothing to report in this regard.

Vantaa, 27 February 2025

KPMG OY AB

JUSSI PASKI
Authorised Public Accountant, KHT